extended over long periods of time, errors build up. This is because in addition to physical volume, value added also depends on levels of intermediation between the producer and consumers, changes in underlying quality of goods, and changes in marketing practices, for instance, bundling higher quality value added services with goods like warranties, etc. and so on. In the current new series, in addition to the updated surveys, this has also been partly corrected by changing the underlying indicator from a volume indicator to one based on value, namely Sales tax and GST collections. Since Sales tax and GST is value based, growth in this indicator captures the underlying growth better in value added.

In the new series data collected from local bodies is also used and the coverage is 60 percent.

Related Terms

Index of Industrial Production (IIP)

It measures the growth of industrial production in India. This index classifies industries into Mining, Manufacturing and Electricity sectors and measures growth in production in each industry. In addition, use based classification of basic goods, intermediate goods and capital goods is also available. This helps in predicting GDP growth as industry is one of the major contributor to growth. IIP is released by CSO on a monthly basis. The base year is 2011–12.

Nikkei India Manufacturing Purchasing Manager's Index (PMI)

Nikkei India Manufacturing PMI is published every month by Nikkei, a media house. It is compiled by IHS Markit. Purchasing Manager's Index predicts the level of industrial production in advance. It predicts the industrial production by tracking the following parameters: new order flows, output, employment, stocks of items